00048

Sri Lanka Institute of Information Technology

B. Sc. Honours Degree in Information Technology
Specializing in Information Technology

Final Examination
Year 4, Semester II (2024)

IT4050 - Innovation Management and Entrepreneurship

Duration: 2 Hours

June 2024

Instructions to Candidates:

- This paper has Four (4) questions. Answer all questions.
- This paper is preceded by ten (10) minutes of reading time. The supervisor will indicate when answering may commence.
- Write down the answers ONLY in the answer booklets provided.
- Total Marks 100 (This paper counts for 70% of Module Marks).
- Read all questions before you start answering.
- This paper contains [redacted] pages, including the cover page.

Four

Question 1: Innovation management (25 marks)

I. Describe what "architectural innovation" means and provide an example.

(3 marks)

II. Peter Drucker outlined seven sources of innovation. Choose three of these sources and discuss how they can be integrated into a business strategy to enhance competitive advantage in the technology sector.

(6 marks)

III. Define Innovation Management and explain its importance in a contemporary business environment.

(4 marks)

IV. List and describe three Innovation Management Techniques (IMTs) that businesses use to meet market challenges.

(6 marks)

V. Compare and contrast the Design Thinking process and the Stage-Gate process.

(6 marks)

Question 2: Entrepreneur and Entrepreneurship (25 Marks)

I. Entrepreneurs face various types of risks, such as demand risk, technology risk, execution risk, and financing risk.

a. Briefly describe each of these risks.

(4 marks)

b. Choose one of these risks and evaluate how an entrepreneur can strategically manage to minimize its impact on a new venture.

(3 marks)

II. Analyse the role of "**unwavering determination and commitment**" in entrepreneurial success.

(4 marks)

III. Compare and contrast "Innovative Entrepreneurs" and "Imitative/Adoptive Entrepreneurs" as categorized by Clarence Danhof.

(6 marks)

IV. Discuss how financial acumen and networking skills can significantly enhance an entrepreneur's chance of securing venture capital.

(4 marks)

V. Describe the concept of intrapreneurship and its importance in fostering innovation within large organizations.

(4 marks)

Question 3: Value Proposition and Business Model Canvas (25 Marks)

I. "Preparing Value Proposition Canvas for a new product is a dynamic process." explain why it is considered a dynamic process.

(3 marks)

II. What help can you get from making a Value Proposition Canvas before making a Business Model Canvas of a particular business?

(2 marks)

III. A few final-year students have gathered information regarding the Green Thread Apparel (GTA) Company. They want your support in developing the GTA company's Business Model Canvas. By carefully analysing the following information, develop the GTA company's Business Model Canvas.

Green Thread Apparel (GTA) is an innovative startup that operates at the intersection of fashion and sustainability. It aims to address the growing environmental concerns associated with the fashion industry by providing stylish, eco-friendly clothing options. The company targets fashion-forward consumers and eco-conscious individuals keen to make ethical purchasing choices without compromising style or quality.

Mission and Vision: Green Thread Apparel is dedicated to reducing the fashion industry's environmental footprint. Its mission is to provide high-quality, sustainable fashion choices that help consumers make a positive impact on the planet. The vision is to become a leading brand in sustainable fashion, known for its commitment to ethics, transparency, and environmental responsibility.

GTA is targeting individuals who are deeply concerned about the environmental impact of their purchases and prefer products that are responsibly made.

GTA targets customers who want to stay current with fashion trends but seek sustainable options that do not contribute to fast-fashion woes.

Green Thread Apparel offers clothing exclusively made from organic and recycled materials, ensuring each item has a minimal environmental impact.

The company guarantees transparency in its manufacturing and supply chain processes, upholding high ethical standards to reassure customers of the integrity of their purchase.

A comprehensive e-commerce platform allows customers worldwide access to its products and detailed information about each item's sustainability.

GTA targets opening temporary retail setups in key urban areas to promote brand visibility and allow customers to interact with the product range physically.

Online customer service provides personalized support, helping customers understand product benefits and make informed decisions.

Through workshops, events, and social media, Green Thread Apparel engages with its community, fostering a dialogue around sustainable practices and collective environmental action.

The primary revenue comes from selling sustainable clothing directly to consumers through various channels.

GTA plans to host paid workshops on sustainable fashion and lifestyle, adding an educational component to the business model.

GTA is trying to partner with suppliers who provide eco-friendly materials, which are crucial for maintaining product sustainability.

GTA needs a robust IT infrastructure to support an online store and customer service.

Continual design and creation of sustainable fashion items that align with the latest trends.

Active marketing efforts through digital channels to build brand awareness and attract customers.

GTA always works hard to collaborate with designers known for sustainable fashion to innovate and refresh product lines.

Alliances with environmental organizations to gain certifications and collaborate on community projects.

Investment in premium, sustainable materials which are generally more costly than conventional alternatives.

A significant budget was allocated to marketing and promotional activities to reach target audiences effectively.

Green Thread Apparel strives to expand its market share in the sustainable fashion industry, continually innovate its product offerings, and lead by example in corporate responsibility.

Through strategic growth and community engagement, it aims to influence broader industry practices and consumer habits toward sustainability.

(20 marks)

Question 4: Business Plan — 25 Marks

I. Explain the significance of financial planning for entrepreneurs. Discuss three (03) key components of financial planning and how they contribute to the success of a business.

(6 marks)

II. Describe two (02) marketing techniques that can effectively be used during product promotion and customer retention.

(4 marks)

III. Discuss the importance of cash flow management for a business. Identify three (03) financial documents that help entrepreneurs monitor and manage cash flow and explain the purpose of each document.

(5 marks)

IV. Write short notes on two (02) topics from the list provided below:

a. Competitive Analysis

b. Customer Persona

c. Proforma Financial Statements

d. Budgeting

(4 marks)

V. Describe three areas a potential investor will investigate before investing in a startup. Explain why these areas are critical for the investor's decision-making process.

(6 marks)

End of the Examination Paper